

1 **SENATE FLOOR VERSION**

2 March 6, 2025

3 **AS AMENDED**

4 SENATE BILL NO. 1047

5 By: McIntosh, Bullard,
6 Grellner, and Standridge of
7 the Senate

8 and

9 Newton of the House

10 [health insurance - billing procedure -
11 reimbursement - cost incurrence - rule promulgation -
12 verification - fines and fees - codification -
13 effective date]

14 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

15 SECTION 1. NEW LAW A new section of law to be codified
16 in the Oklahoma Statutes as Section 6063 of Title 36, unless there
17 is created a duplication in numbering, reads as follows:

18 This act shall be known and may be cited as the "Oklahoma
19 Surprise Medical Billing Act".

20 SECTION 2. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section 6063.1 of Title 36, unless there
22 is created a duplication in numbering, reads as follows:

23 As used in this section:

24 1. "Surprise bill" means a bill issued by an out-of-network
provider or out-of-network facility to an enrollee of a health
benefit plan for health care services in an amount that exceeds the

1 enrollee's cost-sharing obligation applicable for the same health
2 care services if the services had been provided by an in-network
3 provider or in-network facility and are rendered in the following
4 circumstances:

5 a. emergency care provided by an out-of-network provider
6 or out-of-network facility, or

7 b. nonemergency health care services rendered by an out-
8 of-network provider at an in-network facility;

9 2. "Claim" means a request from a provider for payment for
10 health care services rendered to the enrollee of a health benefit
11 plan;

12 3. "Covered person" means:

13 a. an enrollee, policyholder, or subscriber,

14 b. the enrolled dependent of an enrollee, policyholder,
15 or subscriber, or

16 c. another individual participating in a health benefit
17 plan;

18 4. "Health benefit plan" means a health benefit plan as defined
19 pursuant to Section 6060.4 of Title 36 of the Oklahoma Statutes;

20 5. "Health care service" means any service, supply, or
21 procedure rendered for the diagnosis, prevention, treatment, cure,
22 or relief of a health condition, illness, injury, or other disease,
23 including physical or behavioral health services, to the extent it
24 is covered by a health benefit plan;

1 6. "Emergency care" means a health care procedure, treatment,
2 service, or ambulance transportation service delivered to a covered
3 person after the sudden onset of medical or behavioral health
4 condition symptoms of sufficient severity that, without immediate
5 medical attention, regardless of eventual diagnosis, could be
6 expected by a reasonable layperson to result in impairment of a
7 person's physical or mental health, the health or safety of a fetus
8 or pregnant person, bodily function of a bodily organ or part, or
9 disfigurement to a person;

10 7. "Minimum benefit standard" means the eightieth percentile of
11 all allowed amounts for the same or similar health care service
12 furnished by an in-network provider or in-network facility as
13 reported in an independent benchmarking database maintained by a
14 nonprofit organization specified by the Insurance Commissioner. The
15 nonprofit organization shall not be financially affiliated with a
16 health benefit plan or provider. The calculation of the eightieth
17 percentile of all allowed amounts shall be reflected by claims paid
18 during the most recent calendar year;

19 8. "Provider" means a health care professional that is not a
20 facility and is licensed to furnish health care services in this
21 state;

22 9. "In-network provider" means a provider that is under express
23 contract with a health benefit plan or a health benefit plan's
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1 contractor or subcontractor providing health care services to
2 enrollees of the plan;

3 10. "Out-of-network provider" means a provider that is not
4 contracted with a health benefit plan for network participation;

5 11. "Facility" means a licensed entity providing health care
6 services, including:

7 a. a general, special, psychiatric, or rehabilitation
8 hospital,

9 b. an ambulatory surgical center,

10 c. a cancer treatment center,

11 d. a birth center,

12 e. an inpatient, outpatient, or residential drug and
13 alcohol treatment center,

14 f. a laboratory, diagnostic, or other outpatient medical
15 service or testing center,

16 g. a health care provider's office or clinic,

17 h. an urgent care center, or

18 i. any other therapeutic health care setting;

19 12. "In-network facility" means a facility that is under
20 express contract with a health insurance carrier or a health
21 insurance carrier's contractor or subcontractor to provide health
22 care services to enrollees of a plan;

23 13. "Out-of-network facility" means a facility that is not
24 contracted with a health benefit plan for network participation;

1 14. "Allowed amount" means the contractually agreed-upon amount
2 paid by a health benefit plan to an in-network provider or in-
3 network facility in the health benefit plan network; and

4 15. "Health insurance carrier" or "carrier" means an entity
5 subject to state insurance laws, including a health insurance
6 company, a health maintenance organization, a hospital and health
7 service corporation, a provider service network, a nonprofit health
8 care plan, or any other entity that contracts or offers to contract,
9 or enters into agreements to provide, deliver, arrange for, pay for,
10 or reimburse any cost of health care services, or that provides,
11 offers, or administers a health benefit policy or managed health
12 care plan in this state.

13 SECTION 3. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section 6063.2 of Title 36, unless there
15 is created a duplication in numbering, reads as follows:

16 A. An out-of-network provider or out-of-network facility shall
17 not surprise bill a covered person for emergency care. If a covered
18 person pays an out-of-network provider or out-of-network facility an
19 amount that is greater than allowed by this section, the out-of-
20 network provider or out-of-network facility shall render a refund to
21 the covered person within thirty (30) days.

22 B. A health insurance carrier shall directly reimburse an out-
23 of-network provider or out-of-network facility for emergency care at
24

1 the minimum benefit standard, or a mutually agreed upon amount, no
2 later than:

3 1. Thirty (30) days after the date the health benefit plan
4 receives an electronic clean claim for such care that includes all
5 information necessary for the carrier to pay the claim; or

6 2. Forty-five (45) days after the date the carrier receives a
7 nonelectronic clean claim for such care that includes all
8 information necessary for the carrier to pay the claim.

9 C. A health insurance carrier shall ensure that a covered
10 person who is rendered emergency care by an out-of-network provider
11 or out-of-network facility shall incur no greater cost-sharing
12 obligations than the covered person would have incurred if those
13 health care services were rendered by an in-network provider or in-
14 network facility.

15 D. An out-of-network provider shall not surprise bill a covered
16 person for health care services that are not emergency care and are
17 rendered at an in-network facility. If a covered person pays an
18 out-of-network provider an amount that is greater than allowed by
19 this section, the out-of-network provider shall render a refund to
20 the covered person within thirty (30) days.

21 E. A health insurance carrier shall directly reimburse an out-
22 of-network provider for health care services that are not emergency
23 care and are rendered at an in-network facility the minimum benefit
24 standard, or mutually agreed to amount, no later than:

1 1. Thirty (30) days after the date the carrier receives an
2 electronic clean claim for such services that includes all
3 information necessary for the carrier to pay the claim; or

4 2. Forty-five (45) days after the date the carrier receives a
5 nonelectronic clean claim for such services that includes all
6 information necessary for the carrier to pay the claim.

7 F. A health insurance carrier shall ensure that a covered
8 person who is rendered health care services that are not emergency
9 care by an out-of-network provider at an in-network facility shall
10 incur no greater cost-sharing obligations than the covered person
11 would have incurred if those health care services were rendered by
12 an in-network provider.

13 G. The Insurance Commissioner shall promulgate rules for
14 verifying the minimum benefit standard which may be requested by an
15 out-of-network provider or out-of-network facility that has rendered
16 health care services in accordance with this act.

17 1. Verification of the minimum benefit standard shall only be
18 requested if reimbursement has been received from a carrier and no
19 more than thirty (30) days have elapsed since the date payment was
20 received.

21 2. Request for verification of the minimum benefit standard may
22 be requested for bundled claims provided none of the claims were
23 paid more than thirty (30) days since the date payment was received.
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1 3. The Insurance Commissioner shall ensure that verification of
2 the minimum benefit standard is provided to an out-of-network
3 provider or out-of-network facility no later than fifteen (15) days
4 after a request has been initiated.

5 4. If the Insurance Commissioner determines that the amount
6 reimbursed by the carrier is less than the minimum benefit standard,
7 the carrier shall be required to compensate the out-of-network
8 provider or out-of-network facility the difference between the
9 amount initially paid and the verified minimum benefit standard no
10 later than fifteen (15) days after the date the Insurance
11 Commissioner has verified the minimum benefit standard.

12 H. A health insurance carrier that fails to reimburse for
13 health care services at the minimum benefit standard shall be
14 subject to a penalty that is calculated as the difference between
15 the minimum benefit standard and the amount billed by the out-of-
16 network provider or out-of-network facility that requested
17 verification of the minimum benefit standard. Fifty percent (50%)
18 of the calculated penalty shall be made payable to the out-of-
19 network provider or out-of-network facility and the remaining fifty
20 percent (50%) shall be made payable to the Oklahoma Health Insurance
21 High Risk Pool.

22 A carrier may be subject to additional fines and penalties, as
23 determined by the Commissioner, if a pattern of underpayment has
24 been determined.

SECTION 4. This act shall become effective November 1, 2025.

COMMITTEE REPORT BY: COMMITTEE ON BUSINESS AND INSURANCE
March 6, 2025 - DO PASS AS AMENDED